UCU 104: INTRODUCTION TO ENTREPRENEURSHIP

LESSON ONE

1.1 Meaning of Entrepreneurship

1. Entrepreneurship is the act or process of identifying business opportunities and gathering the necessary resources to initiate a successful business activity.

2. It has been variously defined as the process of starting a new business venture through identifying opportunities and acting on them.

3. It can also be defined as the process of taking risks by pursuing a business venture with the aim of making profits.

4. Others think entrepreneurship is the creation of new enterprises.

5. Another stream of thought defines entrepreneurship as the process of creating new and unique combinations of factors of production to produce economic growth. As you can see, the term seems to have some definitional problems but there are also some commonalities that underlie these definitions.

1.2 Four factors that define entrepreneurship.

- Development of new ideas
- Allocation of resources such as time, effort, and capital
- Acceptance and assuming of the risks involved
- Reward in the end in terms of personal satisfaction, profits, and independence among others.

1.3 Distinction between a Sole proprietorship and Entrepreneurship.

A sole proprietorship is one type of entrepreneurship, therefore entrepreneurship is broader term. Entrepreneur a someone who begins and owns one or more business ventures. A sole proprietor is an entrepreneur. A sole proprietor takes on major risks in an effort to generate a business profit on his own. However, an entrepreneur is not always classified as a sole proprietor. In some cases, entrepreneurs choose to organize themselves into partnerships, limited liability company, or corporate entities. An entrepreneur might also invest in companies that he does not personally own or participate in, whereas a sole proprietor is actively involved in the company. Entrepreneurs also often have more ambitious goals compared to sole proprietors

1.4 Advantages and disadvantages of Entrepreneurship

Advantages of Entrepreneurship

1. It gives a great amount of freedom.

If you are working for a boss and a company, you need to meet all their requirements and only have very little freedom on the job. On the other hand, if you start your own business, you will be able to make your own demands and set your own schedule. You dictate everything you do, giving you a level of freedom that you will not see when you are employed.

2. It can be exciting/enjoyable.

Entrepreneurship can be very exciting, with many entrepreneurs considering their ventures highly enjoyable. Every day will be filled with new opportunities to challenge your determination, skills and abilities.

3. It allows you to set your own earnings.

Of course, you will be the one setting your own wage and making investments when you own the business. The work that you do would be for something you own, which can be a huge advantage compared to when you are working as an employee for a certain company.

4. It offers flexibility (can schedule working hours).

As an entrepreneur, you can schedule your work hours around other commitments, including quality time you would spend with your family.

5. It allows independence (independent in making decision).

Entrepreneurs are able to make all of the decisions relating to their company themselves; they have complete control. This allows for a huge degree of independence and a chance to shape one's own life.

Disadvantages of Entrepreneurship

1. It requires you to dedicate a huge amount of time.

One big challenge in starting your own business is the amount of time you have to dedicate to it. Remember that entrepreneurship is not easy, and for it to be successful, you have to take a level of time commitment that many people are just not willing to make. And even if you are able to enjoy flexibility in your work schedule when your venture does become successful, you will still have to dedicate a substantial amount of time to growing the business.

2. It can be difficult to compete with other businesses.
It is very important for an entrepreneur to stay competitive. This means that you have to differentiate your business from others in your niche in order to build a solid customer base and, finally, become profitable.

3. It does not guarantee 100% success.
Entrepreneurship would make your dreams come true, which does not often happen with traditional employment, but you need to make some sacrifices to make it happen. You should know that this type of venture does not guarantee 100% success.

4. It comes with unpredictable work schedules.
One major drawback of being an entrepreneur is that more work and longer hours will be required from you than being an employee. While you want to become your own boss, you must first know the amount of effort, time and investment to make your venture successful. Even though there is a lot of a reward coming from it, it also has certain downsides.

5. No Regular Salary.

Being an entrepreneur often means giving up the security of a regular paycheck. If business slows down, your personal income can be at risk.

1.5 Entrepreneurial ventures:

Entrepreneurial ventures are businesses that are created to introduce new goods or new methods of production. Small business ventures refer to businesses that are independently owned and operated by one person. They are commonly referred to as sole proprietorship or single license businesses.

1.6 A Small Business

A small business is a business whose control and ownership belong to one individual or few people. The capital contribution is therefore from these few individuals who often control the decision-making process. In addition to this, small businesses have few employees.

1.7 Difference between Small Business and Entrepreneurship

1. Behavior of Small Business and Entrepreneurship

Entrepreneurs and small business owners are both self-employed, but their behaviors are different. Entrepreneurs often want to change and develop things. They are happy in creating energy as opposed to being comfortable with their current situation. Small business owners, on the other hand, are contented as long as they are successful. They will rarely try to do more.

2. Innovation in Small Business and Entrepreneurship

Entrepreneurs are known to invent and develop things. Their minds are technical as opposed to small business owners who often do what entrepreneurs are doing already. Whereas entrepreneurs are proactive, small business owners are reactive.

3. Motive of Small Business and Entrepreneurship

Most entrepreneurs will start up a business because they are passionate about it. They will do what they love without thinking about the risks or even profits in the case that the business is successful. On the other hand, small businesses set up their businesses with the main motive of earning profits. That is why when the risks become too much, they will shut down the business to avoid losses.

4. Market Share of Small Business and Entrepreneurship

Entrepreneurs often have the vision of helping the world. Therefore, their businesses will have an impact on many people. For instance, Microsoft is serving almost everybody in the world. They, therefore, have a significant market share. For small business owners, they have a small market share because they serve people around them. They put their communities first and their needs. This brings about a gap in the market shares of entrepreneurs and small businesses.

5. Mindsets of Small Business and Entrepreneurship

Entrepreneurs and small business owners have different mindsets. While entrepreneurs will look for the next big venture when their companies are good, small business owners will retain their business. They are sentimental, and they believe that their business is for their community,

1.8 Entrepreneurship vs. Small Business: Comparison Chart

ENTREPRENEURSHIP

VERSUS

SMALL BUSINESS

Basis of Comparison		
Behavior	Strive to achieve much more than being successful.	Satisfied with success.
Innovation	Proactive	Reactive
Motive	Passionate about the business	Start the business for profits not as a passion.
Market Share	Large market share	Smaller market share
Mindset	Continuously source for new ventures	Retention of the same business structure

Summary of Small Business vs Entrepreneurship

Both small business owners and entrepreneurs are self-employed, and they have much more in common. As we have seen above, some of the largest corporations in the world like Apple began as home-based businesses. Therefore, most entrepreneurs begin from humble beginnings as small businesses but they bloom because they are always hungry for more success.

Both small businesses and entrepreneurial projects are imperative because they lead to the development of the economy. In addition to that, they aid in eradicating the high levels of unemployment which has become a major issue all over the world. The projects have also assisted in the utilization of local resources and development of technology. Therefore, both are useful for the economy to prosper.

1.9 Theories of entrepreneurship

1. Economic theories of entrepreneurship

The economic theory is among the main economic theories of entrepreneurship. This theory asserts that the economy and entrepreneurship are closely linked together. Entrepreneurship and economic growth can only work when the economic conditions are favorable. As such, it is usually hard for entrepreneurs to realize growth when the economy is doing poorly. This theory further states that entrepreneurs find motivation in the presence of economic incentives which include industrial policy, policies of taxation, financial and resource sources, availability of infrastructure, investment opportunities, marketing opportunities, availability of information regarding the conditions of the market and technology among others . An entrepreneur is therefore a risk taker because he can never fully predict about the favorability of the economic conditions in future.

2. Sociological theories of entrepreneurship

This is also among the contemporary theories of entrepreneurship. It argues that the success of an entrepreneur is affected by their social culture. They are more likely to achieve growth in particular social settings. Among the social aspects that affect an entrepreneur include the social values, customs, taboos, religious beliefs and other cultural activities. He or she has to conform to the social expectations when carrying out their business.

3. Entrepreneurship Innovation theory

This is also the top theories of entrepreneurship in Kenya. An entrepreneur does not merely conduct business to better their lives alone. Rather, through their activities, they are able to cause development in the economy and the society at large. The inventor of this theory, Joseph Schumpeter, argued that an entrepreneur grows by being creative and having a foresight. One of the creative things that an entrepreneur does is introduce a new product. A new product often comes to solve a certain problem in the society or make it more convenient. Another innovative aspect is that in a bid to achieve growth and have more profits, an entrepreneur introduces a new production method. Notably, enhanced production methods lead to a reduction in the cost of production and an increase in the goods manufactured. Innovation also comes in when an entrepreneur opens a new market. This is often done after the identification of a growth opportunity or a void in the economy. The discovery of new sources of raw materials and establishment of organization are also aspects of entrepreneurs being innovators. These activities of an entrepreneur lead to the creation of jobs and accessibility of commodities, thus improving the economy.

4. Psychological theory

According to this theory, an entrepreneur experiences growth when the society has several individuals with the necessary psychological characteristics. These characteristics include having a vision, being able to face opposition and having the need to achieve highly. A person can only possess these traits during their upbringing, when they excel, when they are self-reliant and when there is low father dominance.

5. Theory of high achievement/Theory of achievement motivation

Not all people are interested in being entrepreneurs. But David McClelland argued that people who aim to become entrepreneurs must have a need for achievement, a need for affiliation and a need for power. These act as the basis upon which an entrepreneurial personality is established. Achievement motivation has a lot of significance in entrepreneurship because it is the one that leads to economic and social development. Entrepreneurs always want to achieve success in their endeavors. The need for power comes from the urge to gain dominance in a certain field and thus cause influence among other people. The need for affiliation comes from the urge to motive of maintain friendships with other people. Notably, the need for achievement stands out amongst the others. It was identified through an experiment known as Kakinada Experiment by David McClelland. This experiment was conducted in Mexico, America and India. David McClelland gathered young adults who underwent training for 3 months. The goal was to induce achievement motivation. He asked them to have a positive thinking and assume as though they wanted success yet were facing various challenges. They were also asked to emulate their role model. At the end of the study, David McClelland came up with two conclusions about the characteristics of entrepreneurs. The first was that entrepreneurs do things in new and better ways. The second was that they make decisions under uncertain conditions. High achievement motivation is a sign that an individual is likely to become an entrepreneur because they are passionate about it. As such, even though they are stressed, lack money or face external pressures, they will work hard to become successful. Additionally, through the experiment, it was found out that the performance of an entrepreneur can be enhanced through education and training. It was through the Kakinada experiment that the essence of the Entrepreneurial Development Programme was understood.

6. Resource based theories

According to these theories, entrepreneurs require resources to go about their businesses. Their efforts must be combined with resources such as time, money and labor. Failure to access resources can cause their efforts to become futile. Capital, for instance, enables an entrepreneur to growth their business. Other aspects that can be considered as essential resources include access to information, education and leadership. Getting sufficient resources can be quite hectic at times and that is why entrepreneurs are considered to be people who require to work hard and smart.

7. Opportunity based theory

With the aim of being successful, entrepreneurs grab any opportunity they come across. These opportunities are made available through the changes in technology, society or culture. Notably, as these changes occur, consumers change their preferences. An entrepreneur must therefore take those changes as opportunities of succeeding in their businesses. Also, technology sets a basis upon which innovation is created and facilitated. Therefore, this theory suggests that entrepreneurs are always on the lookout for opportunities that will enable them increase the growth of their ventures.

8. Status withdrawal theory

E. Hagen attempted to formulate a theory of status withdrawal theory. The theory explains that when members of some social groups feel that their values and status are not respected by the society, they turn to innovation to get the respect of the society. According to Hagen, entrepreneurship is a function of status withdrawal. This theory provides that a class which lost its previous prestige or a minority group tends to show aggressive entrepreneurial drive. This theory argues that entrepreneurial aggressiveness can be created when people of a certain class lose the prestige they initially had or when they belong to a minority group. Entrepreneurship, if done correctly, can help a person live a satisfactory and content life. Therefore, individuals will attempt by all means to become as prestigious as they were in the past. If they come from a minority group, they must better their lives by working hard at being entrepreneurs. Also, being a successful entrepreneur evokes respect from the society.

LESSON TWO

ENTREPRENEURIAL MOTIVATION

2.1 Meaning of Motivation

Motivation is the driving force within people that get them to act in the ways they do. Motivation is what encourages us to behave in certain ways, push ourselves to accomplish targets, or makes us enjoy our jobs. When there is motivation, there is enthusiasm. Motivation is an internal phenomenon, i.e., it is within us. It drives us to behave and act in certain ways.

2.2 Meaning of Entrepreneurial Motivations

Entrepreneurial Motivations can be defined as the cognitive, biological, and external factors that prompt certain actions in individuals and societies to act in creative and innovation manner. Entrepreneurial motivations are necessary steps of getting individuals to become entrepreneurs. Internally, a person's orientations determine whether he   becomes a successful entrepreneur or not. The external environment such as access to capital and government policies also encourages or inhibits an entrepreneurial spirit. The purpose of this lesson is to encourage you to develop positive attitudes towards entrepreneurship as a career.

2.3 Intrinsic and extrinsic factors that motivate entrepreneurship

Entrepreneurial motivations include intrinsic (internal) and extrinsic (External) triggers for the energy, persistence, perception, attitude, direction and intention necessary to become a successful entrepreneur.

2.3.1 Intrinsic (internal) Factors

i. Desire for independence

ii. Desire to exploit an opportunity

iii. Job satisfaction

iv. Need or achievement

Self- actualization determine whether one becomes a successful entrepreneur or not. Intrinsic factors refer to internal stimuli for entrepreneurial actions.

2.3.2 The extrinsic (external) factors

- Availability of supportive government policies,
- Existence of attractive enterprising cultures,
- Support institutions such as incubation centers and training institutions
- Availability (and access) to credit.

These policies facilities a inspire people to pursue entrepreneurial opportunities. In most cases, a combination of both intrinsic and extrinsic motivation factors play a part in motivating entrepreneurial actions.

2.4 Self employment

Self-employed is a situation in which an individual works for himself instead of working for an employer that pays a salary or a wage. A *self-employed* individual earns his income through conducting profitable operations from a trade or business that he operates directly.

2.4.1 Factors to be considered in becoming self-employment include:

1. Opportunity cost (merits & demerits of self employment and employment)

Considering the advantages and disadvantages of going into small scale enterprise and employment.

2. Types of business

Looking into possible types of businesses within the various classifications.

3. Market (places where to sale your product)

Places situations where there are sellers who have products and services to sell and buyers who have capacity and willingness to purchase.

4. Government policies

A government policy affects small enterprises such as, taxation, price limits, licensing, e.t.c.

5. Location

These are the factors to be considered when deciding where to locate a business for example the community profile, communication, roads, water, buildings, sources of raw materials, competition e.t.c.

6. Resources

These include labour, raw materials, source of finance and equipment e.t.c.

2.4.2 Advantages and disadvantages of self-employment

Advantages of self-employment.

a) Personal satisfaction

This means doing what you want with your life. It enables one to spend each working day in a job you enjoy. E.g. if you like hair dressing and beauty care, you will start your own salon, hence, personal satisfaction when a customer s pleased by your service.

b) Independence.

Independence is freedom from control of others. You are able to use your knowledge, skills and abilities as you deem fit. You have freedom of action as you can make decisions without approval of someone else.

c) Profit

The profit left after the owner enjoys all the other expenses. It enables one to control his/her own income and increases the income which is not often the case when you work for someone else.

d) Job security

Job security enables assurance of continued employment and income. Self employment persons cannot be laid off, retrenched, fired or forced to retire at a certain age.

e) Status (pride)

Self-employed person receive attention and recognition through customer contact and public exposure hence enjoy status above others. They also enjoy pride in ownership; enjoy seeing their names on buildings, vehicles, stationery, and advertisement, e.g. kuguru food processors.

Disadvantages of Self-employment

a) Loss of investment capital

There is high possibility of losing your investment capital i.e. money used in starting the enterprise, hence, the problem in repaying the banks, suppliers and other persons.

b) Uncertainty

There is high possibility of uncertainty or low income even in a well-established business.

c) Long hours

Many self-employed persons work fourteen or more hours a day, six or seven days a week. The owner is often the first to arrive in the business in the morning and the last to leave at night. Customers dictate the hours but not the desire of the owner.

d) Routine chores

Running your own business may involve routine jobs you do not like to do.

2.5 Paid Employment

Paid employment jobs are those jobs where the incumbents hold explicit (written or oral) or implicit employment contracts which give them a basic remuneration which is not directly dependent upon the revenue of the unit for which they work.

2.5.1 Advantages and disadvantages of paid employment

Advantages of Paid Employment

a) Specific/fixed responsibilities

b) Steady income

c) Fringe benefits

d) Fixed hours of work

e) More certain future

f) Set span of control

g) Minimal risk

Disadvantages of Paid Employment

a) Strict following of orders

b) Set income

c) Limited responsibilities

d) Difficulty in implementing ideas

e) Dependency on employer

LESSON THREE

CHARACTERISTICS, TYPES, AND ROLES OF ENTREPRENEURS

3.1 Characteristics of Successful Entrepreneur

i) Strong desire to achieve

An entrepreneur would always want to excel to successes in completion with others as well as to accomplish something

ii) Action oriented (able to take decision when required)

This is exhibited by their motivation to take action when and where necessary.

iii) Problem solver

They have the ability to solve problems and make decisions which involves striving with determination. They have high drive and ability to constantly struggle to accomplish solutions for business success.

iv) Risk taker

They take moderately calculated risks, they enjoy the excitement of challenges, they do not gamble.

v) Initiative (proactive or inventiveness)

They have the ability to generate new ideas and implement them ahead of others to be able to create competitive edge. The power or opportunity to act or take charge before others does. Proactive rather than reactive

vi) Independence (able to work independently)

They like doing things their own way. Their own business fulfils their need for independence. They lile being their own boss.

vii) Positiveness (sees success not failure)

The entrepreneur approaches tasks and issues with the hope of success and not fear of failure. They are optimistic persons.

viii) Self-confidence (self determination)

An entrepreneur is confident of achieving realistic and challenging goals, coupled with a sense of effectiveness, will ultimately contribute to the success of the venture.

3.2 Qualities of an entrepreneur

1. Disciplined

These individuals are focused on making their businesses work, and eliminate any hindrances or distractions to their goals. They have overarching strategies and outline the tactics to accomplish them. Successful entrepreneurs are disciplined enough to take steps every day toward the achievement of their objectives.

2. Confidence

The entrepreneur does not ask questions about whether they can succeed or whether they are worthy of success. They are confident with the knowledge that they will make their businesses succeed. They exude that confidence in everything they do.

3. Open Minded (consider every situation as an opportunity)

Entrepreneurs realize that every event and situation is a business opportunity. Ideas are constantly being generated about workflows and efficiency, people skills and potential new businesses. They have the ability to look at everything around them and focus it toward their goals.

4. Self Starter (be the first to start any business activity)

Entrepreneurs know that if something needs to be done, they should start it themselves. They set the parameters and make sure that projects follow that path. They are proactive, not waiting for someone to give them permission.

5. Competitive (ready to compete)

Many companies are formed because an entrepreneur knows that they can do a job better than another. They need to win at the sports they play and need to win at the businesses that they create. An entrepreneur will highlight their own company's track record of success.

6. Creative (innovative) great thinker

One facet of creativity is being able to make connections between seemingly unrelated events or situations. Entrepreneurs often come up with solutions which are the synthesis of other items. They will repurpose products to market them to new industries.

7. High Determination to suceed (consider defeat as an opportunity)

Entrepreneurs are not thwarted by their defeats. They look at defeat as an opportunity for success. They are determined to make all of their endeavors succeed, so will try and try again until it does. Successful entrepreneurs do not believe that something cannot be done.

8. Strong communication skills (convincing & motivating)
The entrepreneur has strong communication skills to sell the product and motivate employees. Most successful entrepreneurs know how to motivate their employees so the business grows overall. They are very good at highlighting the benefits of any situation and coaching others to their success.

9. Strong work ethic (good management of time)
The successful entrepreneur will often be the first person to arrive at the office and the last one to leave. They will come in on their days off to make sure that an outcome meets their expectations. Their mind is constantly on their work, whether they are in or out of the workplace.

10. Passion (love their work)
Passion is the most important trait of the successful entrepreneur. They genuinely love their work. They are willing to put in those extra hours to make the business succeed because there is a joy their business gives which goes beyond the money. The successful entrepreneur will always be reading and researching ways to make the business better.

3.3 Types /Classifications of entrepreneurs

Entrepreneurs are classified into different types based on different classifications as mentioned below:

A) Classification based on the Type of Business:

1. Trading Entrepreneur: (intermediaries)
As the name itself suggests, the trading entrepreneur undertake the trading activities. They procure the finished products from the manufacturers and sell these to the customers directly or through a retailer. These serve as the middlemen as wholesalers, dealers, and retailers between the manufacturers and customers.

2. Manufacturing Entrepreneur:

The manufacturing entrepreneurs manufacture products. They identify the needs of the customers and, then, explore the resources and technology to be used to manufacture the products to satisfy the customers' needs. In other words, the manufacturing entrepreneurs convert raw materials into finished products.

3. Agricultural Entrepreneur (deals with agricultural products)

The entrepreneurs who undertake agricultural pursuits are called agricultural entrepreneurs. They cover a wide spectrum of agricultural activities like cultivation, marketing of agricultural produce, irrigation, mechanization, and technology.

B) Classification based on the use of Technology:

1. Technical Entrepreneur:

The entrepreneurs who establish and run science and technology-based industries are called 'technical entrepreneurs.' Speaking alternatively, these are the entrepreneurs who make use of science and technology in their enterprises. Expectedly, they use new and innovative methods of production in their enterprises.

2. Non-Technical Entrepreneur:

Based on the use of technology, the entrepreneurs who are not technical entrepreneurs are non-technical entrepreneurs. The forte of their enterprises is not science and technology. They are concerned with the use of alternative and imitative methods of marketing and distribution strategies to make their business survive and thrive in the competitive market.

C) Classification based on ownership:

1. Private Entrepreneur:
A private entrepreneur is one who as an individual sets up a business enterprise. He / she it's the sole owner of the enterprise and bears the entire risk involved in it.

2. State Entrepreneur:
When the trading or industrial venture is undertaken by the State or the Government, it is called 'state entrepreneur.'

3. Joint Entrepreneurs:
When a private entrepreneur and the Government jointly run a business enterprise, it is called 'joint entrepreneurs.'

D) Classification based on Gender:

1. Men Entrepreneurs:

When business enterprises are owned, managed, and controlled by men, these are called 'men entrepreneurs.'

2. Women Entrepreneurs:

Women entrepreneurs are defined as the enterprises owned and controlled by a woman or women having a minimum financial interest of 51 per cent of the capital and giving at least 51 per cent of employment generated in the enterprises to women.

E) Classification based on the Size of Enterprise:

1. Small-Scale Entrepreneur: An entrepreneur who has made investment in plant and machinery up to 20 members

2. Medium-Scale Entrepreneur: The entrepreneur who has made investment in plant and machinery above 50 members

3. Large-Scale entrepreneur: The entrepreneur who has made investment in plant and machinery more than 100 members

F) Classification based on Clarence Danhof (based on stages of economic devt)

Clarence Danhof (1949), on the basis of his study of the American Agriculturist, classified entrepreneurs in the manner that at the initial stage of economic development, entrepreneurs have less initiative and drive and as economic development proceeds, they become more innovating and enthusiastic.

1. Innovating Entrepreneurs: (one who introduces new goods or new method of production)
Innovating entrepreneurs are one who introduce new goods, inaugurate new method of production, discover new market and reorganise the enterprise. It is important to note that such entrepreneurs can work only when a certain level of development is already achieved, and people look forward to change and improvement.

2. Imitative Entrepreneurs (they imitate or copy from the others)
These are characterized by readiness to adopt successful innovations inaugurated by innovating entrepreneurs. Imitative entrepreneurs do not innovate the changes themselves, they only imitate

techniques and technology innovated by others. Such types of entrepreneurs are particularly suitable for the underdeveloped regions for bringing a mushroom drive of imitation of new combinations of factors of production already available in developed regions.

3. Fabian Entrepreneurs: (skeptical/ very great caution)
Fabian entrepreneurs are characterized by very great caution and skepticism in experimenting any change in their enterprises. They imitate only when it becomes perfectly clear that failure to do so would result in a loss of the relative position in the enterprise.

4. Drone Entrepreneurs: (refusal to accept or adopt)
These are characterized by a refusal to adopt opportunities to make changes in production formulae even at the cost of severely reduced returns relative to other like producers. Such entrepreneurs may even suffer from losses but they are not ready to make changes in their existing production methods.

G) Classification based on behavioral scientists:

1. Solo Operators:
These are the entrepreneurs who essentially work alone and, if needed at all, employ a few employees. In the beginning, most of the entrepreneurs start their enterprises like them.

2. Active Partners:
Active partners are those entrepreneurs who start/ carry on an enterprise as a joint venture. It is important that all of them actively participate in the operations of the business. Entrepreneurs who only contribute funds to the enterprise but do not actively participate in business activity are called simply ‘partners’.

3. Inventors:
Such entrepreneurs with their competence and inventiveness invent new products. Their basic interest lies in research and innovative activities.

4. Challengers:
These are the entrepreneurs who plunge into industry because of the challenges it presents. When one challenge seems to be met, they begin to look for new challenges.

5. Buyers:
These are those entrepreneurs who do not like to bear much risk. Hence, in order to reduce risk involved in setting up a new enterprise, they like to buy the ongoing one.

6. Life-Timers: (family business)

These entrepreneurs take business as an integral part to their life. Usually, the family enterprise and businesses which mainly depend on exercise of personal skill fall in this type/category of entrepreneurs.

3.4 Roles of Entrepreneurship in Economic Development of a Country

1. Wealth Creation and Sharing:

By establishing the business entity, entrepreneurs invest their own resources and attract capital (in the form of debt, equity, etc.) from investors, lenders and the public. This mobilizes public wealth and allows people to benefit from the success of entrepreneurs and growing businesses. This kind of pooled capital that results in wealth creation and distribution is one of the basic imperatives and goals of economic development.

2. Job Creation:

Entrepreneurs are by nature and definition job creators, as opposed to job seekers. The simple translation is that when you become an entrepreneur, there is one less job seeker in the economy, and then you provide employment for multiple other job seekers. This kind of job creation by new and existing businesses is again is one of the basic goals of economic development. This is why the Govt. of India has launched initiatives such as StartupIndia to promote and support new startups, and also others like the Make in India initiative to attract foreign companies and their FDI into the Indian economy. All this in turn creates a lot of job opportunities, and is helping in augmenting our standards to a global level.

3. Balance Regional Development:

Entrepreneurs setting up new businesses and industrial units help with regional development by locating in less developed and backward areas. The growth of industries and business in these areas leads to infrastructure improvements like better roads and rail links, airports, stable electricity and water supply, schools, hospitals, shopping malls and other public and private services that would not otherwise be available.

4. Increase GDP and Per Capita Income:

India’s MSME sector, comprised of 36 million units that provide employment for more than 80 million people, now accounts for over 37% of the country’s GDP. Each new addition to these 36 million units makes use of even more resources like land, labor and capital to develop products and services that add to the national income, national product and per capita income of the country. This growth in GDP and per capita income is again one of the essential goals of economic development.

5. Improve the Standard of Living:
Increase in the standard of living of people in a community is yet another key goal of economic development. Entrepreneurs again play a key role in increasing the standard of living in a community. They do this not just by creating jobs, but also by developing and adopting innovations that lead to improvements in the quality of life of their employees, customers, and other stakeholders in the community.

6. Increase Exports:
Any growing business will eventually want to get started with exports to expand their business to foreign markets. This is an important ingredient of economic development since it provides access to bigger markets, and leads to currency inflows and access to the latest cutting-edge technologies and processes being used in more developed foreign markets.

7. Facilitate Community Development:
Economic development doesn’t always translate into community development. Community development requires infrastructure for education and training, healthcare, and other public services. For example, you need highly educated and skilled workers in a community to attract new businesses. If there are educational institutions, technical training schools and internship opportunities, that will help build the pool of educated and skilled workers.

LESSON FOUR

IDEA GENERATION AND EVALUATION

4.1 Business Idea

A business idea is a concept which can be used for commercial purposes, it is a starting point of developing a new product. It typically centers on a commodity or service that can be sold for money. A business idea is a starting point for any current or future entrepreneurs. It is essential because it is the beginning of a new life – a life of a business and a life of an entrepreneur.

4.2 A business opportunity

A business opportunity is usually attractive situation that can be capitalized to make money. A business opportunity, in the simplest terms, is a packaged business investment that allows the buyer to begin a business. (Technically, all franchises are business opportunities, but not all business opportunities are franchises.) Franchises is an authorization granted by a government or company to an individual or group enabling them to carry out specified commercial activities, for example acting as an agent for a company's products.

4.3 Distinction between business idea and business opportunity

A business idea is a concept which can be used for commercial purposes, and it is a starting point of developing a new product. While business opportunity is attractive situation that can be capitalized to make money or a packaged business investment that allows the buyer to begin a business.

4.4 Sources of business ideas & opportunities for entrepreneurs

1. Interests and hobbies

A hobby is an activity that you enjoy doing during your leisure-time and is one of the primary sources of business ideas. In fact, most people have founded great successful businesses while pursuing their interests or hobbies. For instance, if you enjoy traveling, playing with computers, music, sports, performing or cooking, you can seamlessly develop it into a business. You can join the tourism, entertainment or hospitality industry by venturing deeper into your favorite activity. These are just a few suggestions since there are lots of leisure activities that can lead you to the world of successful entrepreneurship. Just consider what you are good at, and you are ready to go.

2. Customer surveys

The starting point of any new business should be the clients because their needs and wants justify the service or product that you can offer to them. The wants and needs of the customers are, therefore, the sources of business ideas generation and you can ascertain them by carrying out a thorough survey. You can conduct such a survey, whether formally or informally, through questionnaires, interviews or observation as you list the sources of business ideas that work best for you. While carrying out the surveys, you can talk with your friends and family to discover what the potential customers need, yet it is not readily available to them.

3. Brainstorming and dreams

Brainstorming is a method of problem-solving and qualifies as one of the seven sources of business ideas since every company focuses on offering solutions to the problems facing the customers. The secret behind brainstorming is to come up with as many ideas and options as possible. This process usually starts with a problem statement or question. For instance, you may ask the question "what are the services or products necessary in the home that are hard to get?" In this way, each design will result in one or more ideas and lead to several opportunities for becoming an entrepreneur. Dreams are also part of the sources of developing business ideas though most people tend to ignore them.

4. Franchises

A franchise is a situation where a sole trademark distributor or manufacturer of a product gives exclusive rights to independent retailers for local distribution. This is done in return for the consistency of the retailers to the set operating procedures and payment of royalties. As one of the sources of business ideas for entrepreneurs, franchising can take different forms but the most common and preferred one is where you are offered the image, operating procedures and the name of an established business. Besides buying a franchise, you can also build on and sell its concept at a profit.

5. Mass media

The mass media; including television, newspapers, Internet, radio, and magazines are a great source of ideas, information, and opportunities. One way to become a successful entrepreneur is taking a careful look at the advertisements and commercials in these media. By reading a magazine or newspaper, you can easily come across a business for sale that interests you. These media can also report on the trending fashion, and pressing customer needs that you can jump on and start a business. If, for example, you find out that there is a high demand for physical fitness and healthy eating practices, you can start a fitness and healthy eating center. While traditional media including television, radio, and newspapers have been great sources of ideas to run new business, the Internet has emerged as the latest information technology with instant millions of ideas.

6. Personal experience and talents

Most of the ideas and opportunities for successful businesses are a result of the experiences in the place of work. For example, an experienced manager working for a leading restaurant can eventually decide to start a business related to hospitality even before he retires. As a potential entrepreneur, therefore, you can make the most use of your skills and experiences as crucial sources of business ideas generation. They also determine the type of venture that you start as you capitalize on them. If you are gifted or have experience in a specific field, then it is time to analyze just talent or skills. You can start off with the following self-examination questions: What am I passionate about? What talents or skills do I possess? Are people willing to pay me for my skills? What do I need to build on my skills?

7. Trade fairs and exhibitions

Trade fairs and exhibitions are among the top sources of developing business ideas. They are usually advertised on the Internet, radio, and newspapers, and by attending such events regularly, you will discover new services and products. You will also meet with manufacturers, sales representatives, distributors, wholesalers, and franchisers who will answer all your questions and inspire you to start a business that will thrive. In fact, some of them may be in need of someone like you to partner with, and this will be an exceptional opportunity to partner with renowned entrepreneurs and franchisers. Sound business ideas from reliable sources of new ideas for business become good investments when implemented.

Four characteristics of a good business opportunity (8 marks)

i) Demand there should be a favorable market scope for the product or service.

ii) Attractive returns on investment if the returns on investment are attractive then the business opportunity can be pursued further.

iii) Availability of raw materials business opportunity is said to be viable where the required material to produce the products are available.

iv) Technical requirements some businesses require technical or managerial skills.

v. Low capital requirement

A good business opportunity should be cheap to finance. Access to capital is a major impediment to entrepreneurship implying that entrepreneurs should focus on ideas that are cheap to finance. Entrepreneurs exploit financing methods such as loans, venture capitalists and contributions from friends and family among others. Capital suppliers are reluctant to finance new businesses with huge capital requirements.

vi. Passionate

A good business opportunity is one that aligns with the individual's passion. The founder's motivation is a key determinant of the success of a start-up. A passionate founder has an internal motivation towards building a bright future for the business. As a result, such a leader creates a clear vision and mission statements and uses them to motivate stakeholders towards organisational goals.

vii. Matches individual skills

Individual's capabilities are a key determinant of the fitness of a business proposal. A good business proposal aligns with the entrepreneur's skills that ensure conversance with the intricacies of the business process.

viii. Growth

Growing a business is one of the principal goals of an entrepreneur. It is therefore paramount to ensure the scalability of an opportunity before committing resources. A good business opportunity's growth regarding profitability, revenue, size, and other yardsticks of evaluating growth are verifiable.

ix. Reflect environmental realities

A business opportunity should be relevant to the prevailing environment. The business environment is dynamic, and entrepreneurs should understand how changes in the environment affect customer needs and business operations. An entrepreneur should have a deep understanding of the environmental trends to ascertain the opportunity's long-term viability.

4.5 Four ways of identifying business opportunities

To be successful entrepreneurs, we need to be continually innovating and looking for opportunities to grow our startups. But how do you find new opportunities to take your startup to new markets and growth levels? Here are four ways to identify more business opportunities.

1. Listen to your potential clients

When you're targeting potential customers listen to their needs, wants, challenges and frustrations with your industry. Have they used similar products and services before? What did they like and dislike? Why did they come to you? What are their objections to your products or services? This will help you to find opportunities to develop more tailored products and services, hone your target market and identify and overcome common objections.

2. Listen to your customers

When you're talking to your customers listen to what they saying about your industry, products and services. What are their frequently asked questions? Experiences? Frustrations? Feedback and complaints? This valuable customer information will help you identify key business opportunities to expand and develop your current products and services.

3. Look at your competitors

Do a little competitive analysis (don't let it lead to competitive paralysis though) to see what other startups are doing, and more importantly, not doing? Where are they falling down? What are they doing right? What makes customers go to them over you? Analysing your competitors will help you identify key business opportunities to expand your market reach and develop your products and services.

4. Look at industry trends and insights

Subscribe to industry publications, join relevant associations, set Google alerts for key industry terms and news and follow other industry experts on social media.

4.6 Viability of a Business Idea

Viability of business idea is the ability of the proposed idea to work successfully. it is important as an entrepreneur to evaluate the business ideas through a screening process. The screening process involves the systematic evaluation of the ideas in order to determine the best idea to turn into a viable business venture. The screening process must be done carefully, objectively, soberly and without emotions. The business idea screening is required even when there is only one business idea to consider. This is important to ensure that the business is profitable.

4.7 How to determine if you have a viable business idea

1. Conduct a Market Research

Search the Internet, visit libraries, and look at industry reports for information about costs, competition, and the size and viability of your target market. Also, if a real niche exists, chances are the media will be targeting it. Look for blogs, magazines, trade journals, newspapers, and other media aimed at your potential customer base. You may end up finding a new market niche that you never even knew about.

2. Find out if there’s a paying customer.

To have a successful business, you will undoubtedly need to solve a problem for a particular customer. But before settling on an idea, identify who your ideal customers are, what their income is, what their buying habits are, and how they make purchasing decisions. You can get this information by conducting surveys or polls online, interviewing potential customers, and searching for existing data on your demographic. Once you compile the results, you’ll have a clearer picture of your paying customer.

3. Solicit honest feedback.

Bounce your business idea off of your family, friends, and peers to get some objective, real-world advice. Talk to prospective customers, local storeowners, and even your competition (being careful not to give away your idea) to get their take on fair pricing for your services and what they currently pay or charge for them. Test a few price points and, if the product is tangible, let potential customers examine and use it. Ask if there are any features they would like to see offered that are currently unavailable. You may get some interesting constructive criticism that you can implement. Please contact your own legal advisor about how you might be able to protect your ideas while you are seeking feedback.

4. Consider your marketing strategy.

Since you probably have limited time and resources, you'll want to make sure you get the most bang for your marketing bucks. Fortunately, many marketing tactics these days are fairly inexpensive. Small business websites, for example, typically range from $750 to $3,000 for a basic set up depending on the type of site you need. Social media marketing may also be cost effective, but you must take the time to test and learn about it in order for it to be successful. Be sure to master one social media outlet before branching out to others. Other low-cost marketing techniques include blogging and basic how-to or product demonstration videos. And remember: Face-to-face networking at local events is still one of the best ways to build potential business relationships, because people want to do business with people they know.

5. Assess the costs of your venture.

To get a sense of how many sales must be generated to cover your expenses and eventually bring in some cash, you'll need to know your monthly "burn rate," or how much it costs to run your business each month. Here are some things to consider:

- Cost of materials: How much will your inventory, ingredients or product components cost?
- Cost of labor: If you're doing the work yourself, what is your time worth? If you're paying an employee, subcontractor or freelancer to do the work, how much time and money will it take that person to make the product or provide the services?
- Overhead: A percentage of your daily business expenses, such as phone, electricity, rent, heat, insurance, water, accounting, legal, admin support and marketing, should be reflected in your pricing.

- Pricing: Once you’ve calculated your costs, decide what you’re going to charge your customers. Remember, you must cover your costs and earn a profit on every sale or you’ll end up out of business quickly.

LESSON FIVE

THE CREATIVE PROCESS (DESIGN THINKING)

5.1 Meaning of Design thinking

Design thinking is a proven problem solving technique that any business or profession can employ to achieve business results. Design thinking combines creative and critical thinking that allows information and ideas to be organized, decisions to be made, situations to be improved, and knowledge to be gained.

5.2 Five Stages in the Design Thinking Process

1. Empathize (understand deeply)

This is the process of gaining an empathic understanding of the problem you are trying to solve. This involves consulting experts to find out more about the area of concern through observing, engaging and empathizing with people to understand their experiences and motivations, as well as immersing yourself in the physical environment so you can gain a deeper personal understanding of the issues involved. Empathy is crucial to a human-centered design process such as Design Thinking, and empathy allows design thinkers to set aside their own assumptions about the world in order to gain insight into users and their needs.

2. Define (the Problem)

During the Define stage, you put together the information you have created and gathered during the empathize stage. This is where you will analyze your observations and synthesize them in order to define the core problems that you and your team have identified up to this point. You should seek to define the problem as a problem statement in a human-centered manner.

3. Ideate (generate the idea)
During the third stage of the Design Thinking process, designers are ready to start generating ideas. You've grown to understand your users and their needs in the Empathise stage, and you've analysed and synthesised your observations in the Define stage, and ended up with a human-centered problem statement. With this solid background, you and your team members can start to "think outside the box" to identify new solutions to the problem statement you've created, and you can start to look for alternative ways of viewing the problem.

4. Develop Prototype (actual product sample)
The design team will now produce a number of inexpensive, scaled down versions of the product or specific features found within the product, so they can investigate the problem solutions generated in the previous stage. Prototypes may be shared and tested within the team itself, in other departments, or on a small group of people outside the design team. This is an experimental phase, and the aim is to identify the best possible solution for each of the problems identified during the first three stages.

5. Test marketing (test the product in the market)
Designers or evaluators rigorously test the complete product using the best solutions identified during the prototyping phase. This is the final stage of the 5 stage-model, but in an iterative process, the results generated during the testing phase are often used to redefine one or more problems and inform the understanding of the users, the conditions of use, how people think, behave, and feel, and to empathize.

5.4 Meaning of Business plan

A business plan is a roadmap or a written document that details the necessary actions to achieve one or more business objectives. It can be for a product or service a brand, or a product line. Business plans cover between one and five years.

5.5 Meaning of a business model

A business model is a high-level plan or a blueprint for the business, outlining how you're going to run your business, and how you're going to make money. It is a a plan for the successful operation of a business, identifying sources of revenue, the target customer base, products, and details of financing. Essentially it tells us how the key drivers of a business fit together.

According to Management Guru Peter Drucker:
A business model is supposed to answer who your customer is, what value you can create/add for the customer and how you can do that at reasonable costs.

5.5.1 Different Types of Business Models

There are different types of business models meant for different businesses. Some of the basic types of business models are:

1. Manufacturer
A manufacturer makes finished products from raw materials. It may sell directly to the customers or sell it to a middleman i.e another business that sells it finally to the customer.

2. Distributor

A distributor buys products from manufacturers and resells them to the retailers or the public. Examples – Auto Dealerships.

3. Retailer

A retailer sells directly to the public after purchasing the products from a distributor or wholesaler.

4. Franchise

A franchise can be a manufacturer, distributor or retailer. Instead of creating a new product, the franchisee uses the parent business's model and brand while paying royalties to it. Examples – McDonald's, Pizza Hut.

5. Brick-and-mortar

Brick-and-mortar is a traditional business model where the retailers, wholesalers, and manufacturers deal with the customers face-to-face in an office, a shop, or a store that the business owns or rents.

6. E-Commerce

E-Commerce business model is an up gradation of the traditional brick-and-mortar business model. It focuses on selling products by creating a web-store on the internet.

5.5.2 Eight components of a Business Model

1) Value Proposition

Define how a company's product or service fulfils the need of customers.

2) Revenue Model

Define how the firm will earn revenue, generates profits and produce a superior return on invested capital

3) Market Opportunity

Refers to a company's intended market space and the overall potential financial opportunities available to the firm in that market space

4) Competitive Environment

Refers to the other competition selling similar products and operating in the same market space

5) Competitive Advantage

Achieved when a firm can produce a superior product and/or bring a product to market, at a lower price than most, or all, of their competitors.

6) Market Strategy

Plan that details how a company intends to enter a new market and attract strategy

7) Organizational Development

Describes how the company will organize the work that needs to be accomplished

8) Management Team

Employees of the company responsible for making the business model work. Strong management team gives instant credibility to outside investors

Value Proposition

Definition of Value proposition

In simple terms, a value proposition makes a case for why a customer should pick one product over another, citing the unique value the product provides over its contenders. The Business Model Canvas value proposition provides a unique combination of products and services which provide value to the customer by resulting in the solution of a problem the customer is facing or providing value to the customer. This is the point of intersection between the product you make and the reason behind the customer's impulse to buy it. A product can have a single value proposition or multiple value propositions.

Elements of the Value Proposition

i. Newness

Some value propositions are based on the newness or novelty factor that they provide. This element usually comes into play for technology-intensive products. The telecommunications industry was spawned through the newness element. Originally the market for cellphones was very small but once the technology became more mainstream the market for the product expanded exponentially with increasingly advanced cellphones and smartphones being created to take advantage of the telecommunications technology.

ii. Performance

Better performance has been the hallmark of many product offerings over the years with most industries managing to thrive for decades on improved performance versions of the same products. Intel doubles the speed of its chip every year, resulting in faster computers able to support much more sophisticated software.

iii. Customization

The modern consumer believes in self-expression and individualism. They expect the products they use to be an extension of their personality and a medium through which they can communicate their values and priorities to the world. Providing the option to tailor the product to the consumer's preferences adds value for the customer.

iv. Getting the job done

When a product helps a consumer or business reach the end goal, its value proposition is getting the job done. Rolls Royce is best known for the cars they make but one of their major value propositions is getting the job done through the jet engines they manufacture and service for Boeing as well as providing financing through leasing. A product whose value proposition is 'getting the job done' enhances the customer's productivity and helps the customer to focus on more relevant details.

v. Design

Most clothing labels rake in a higher price tag because of the superior design they have. Prada charges top dollar for something as simple as a T-shirt because of the strength of its designs.

vi. Brand/ Status

Design and brand/status can be clustered together because their appeal is quite similar. Just as people will show loyalty to a brand because of its design, people will also show loyalty to a design because of the perceived status the brand name itself lends to the owner or user. Almost everyone today owns and wears a watch on a regular basis but the brand of the watch could vary from your local watchmaker/ jeweler to the iconic brand Rolex.

vii. Price

One of the most common elements a value proposition is based on is price. There are many companies that enter into the market with the premise that they are providing a product or service which is cheaper than the existing options in the market. However, organizations competing on price, or in some cases, even offering free services, usually have different business models to sustain the organization.

viii. Cost Reduction

Products and services catered towards enhancing customer experience by reducing the cost a customer would ultimately incur cater to the cost reduction value proposition. Technology has played a great role in helping consumers reduce costs. One such example is Salesforce.com which allows customers to use a customer relationship management software for a fee, voiding the need for the customer to buy the software, hardware and install and run it, each action associated with a significant cost.

ix. Risk Reduction

The less risk associated with purchasing a product or service, the more value a customer derives from it. A reduction of the risk associated with a purchase provides peace of mind to a consumer. One example of this is the one year service warranty received when buying a used car. In the buyer’s mind, the risk of buying a second hand vehicle is diminished by the comfort of having the warranty.

x. Accessibility

Another key ingredient for an effective and robust value proposition is making a previously inaccessible product or service available to a consumer segment. Innovative technologies and variations in business models have both led to offering accessibility to unserviced customers. NetJets is a wonderful example of providing accessibility.

xi. Convenience/ Usability

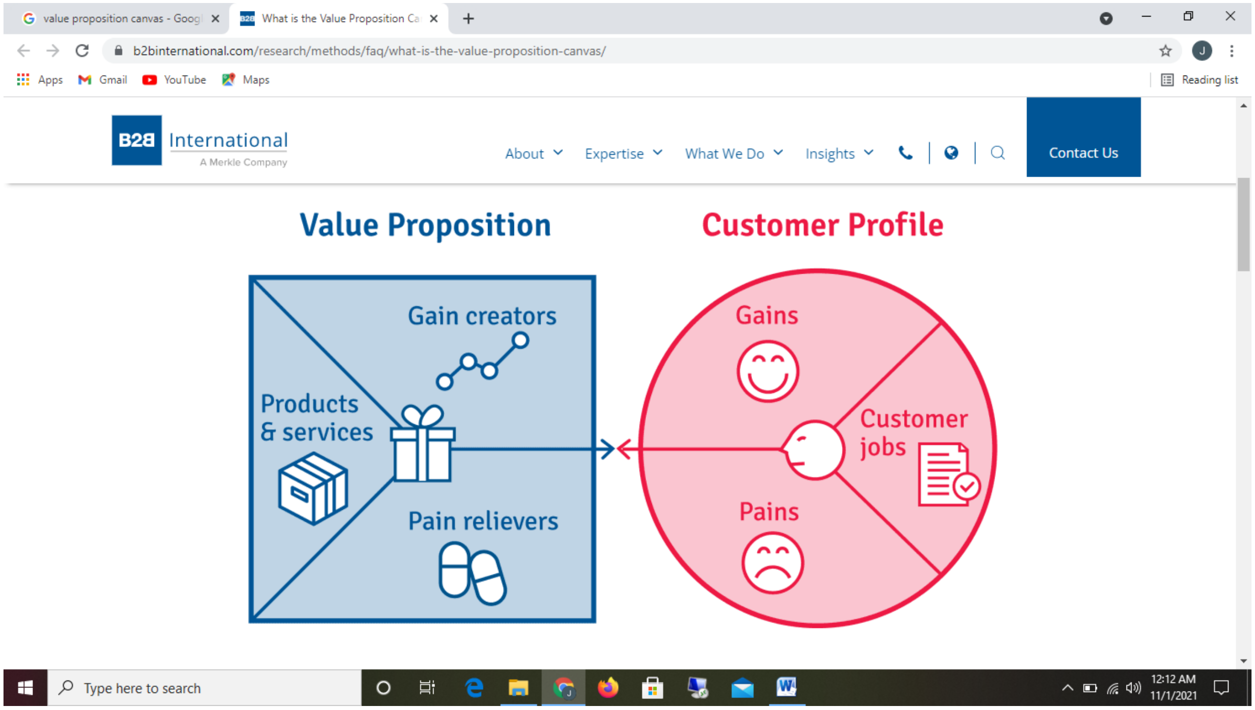
Providing consumers with a product that increases their convenience or is characterized by ease of use is a very strong value proposition and one on which some companies have built empires and legends around. One example of this type of value proposition is Apple which through its iconic iPod provided consumers with a convenient way to listen to music and by pairing it with iTunes, increased the convenience factor significantly; since now users could easily search, download and play songs, all through one medium!

Value Proposition Canvas

The Value Proposition Canvas is a tool which can help ensure that a product or service is positioned around what the customer values and needs.

The Value Proposition Canvas was initially developed by Dr Alexander Osterwalder as a framework to ensure that there is a fit between the product and market. It is a detailed look at the relationship between two parts of the Osterwalder's broader Business Model Canvas; customer segments and value propositions.

The Value Proposition Canvas can be used when there is need to refine an existing product or service offering or where a new offering is being developed from scratch.



The Value Proposition Canvas is formed around two building blocks – customer profile and a company's value proposition.

1, Customer Profile

- Gains – the benefits which the customer expects and needs, what would delight customers and the things which may increase likelihood of adopting a value proposition.
- Pains – the negative experiences, emotions and risks that the customer experiences in the process of getting the job done.
- Customer jobs – the functional, social and emotional tasks customers are trying to perform, problems they are trying to solve and needs they wish to satisfy.

A customer profile should be created for each customer segment, as each segment has distinct gains, pains and jobs.

2. Value Map

- Gain creators – how the product or service creates customer gains and how it offers added value to the customer.

Gain Creators

- Provides a common working space for a team to share ideas and information
- Provides access to freelancers, and individuals to a free service where his or her notes are backed up and available to him at a moment's notice,
- Cost effective for individuals who can use the service for free
- Provides tools that help customers effectively and efficiently plan and execute

- Pain relievers – a description of exactly how the product or service alleviates customer pains.

  Pain Relievers

  - Removes the need to carry notebooks, consolidated notes or other forms of data around
  - Removes the need for complicated slides during meetings
  - Single place to save online material available on a topic of interest
  - Economically accessible for individuals without requiring a heavy investment in hardware or software

- Products and services – the products and services which create gain and relieve pain, and which underpin the creation of value for the customer.

Achieving fit between the value proposition and customer profile

After listing gain creators, pain relievers and products and services, each point identified can be ranked from nice to have to essential in terms of value to the customer. A fit is achieved when the products and services offered as part of the value proposition address the most significant pains and gains from the customer profile. Identifying the value proposition on paper is only the first stage. It is then necessary to validate what is important to customers and get their feedback on the value proposition. These insights can then be used to go back and continually refine the proposition.

Going further

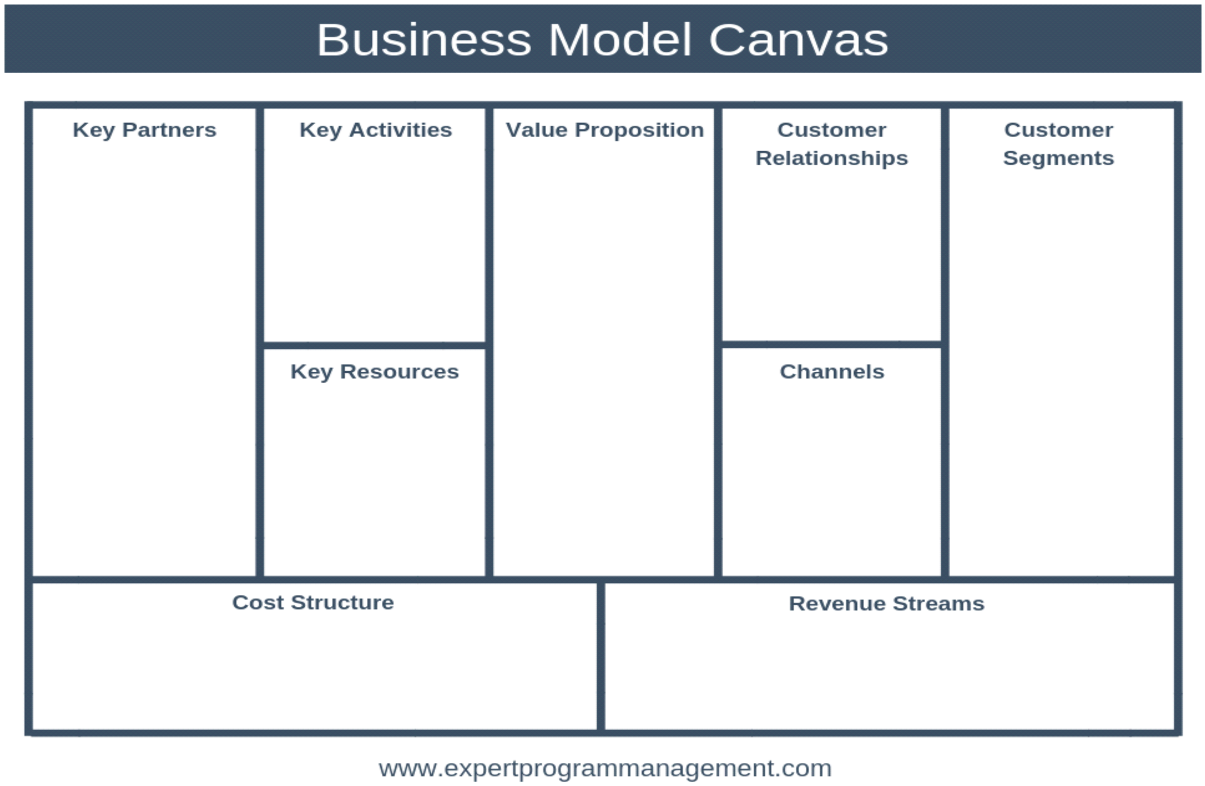
An additional step is to investigate the extent to which a company has a competitive advantage in those areas to ensure that the value proposition is unique and sufficiently differentiated. A matrix can be used to plot each aspect of the value proposition with respect to its value to the customer and the competitive advantage the company has in offering that product or service.

The Business Model Canvas

The business model canvas is a tool used by business owners and managers to plan their strategies and develop and enhance the existing business models. It is an effective strategic management tool for developing new or improving existing business models. It is a visual chart with elements describing a firms or product's value proposition, infrastructure, customers, and finances. The nine "building blocks" of the business model design template that came to be called the Business Model Canvas were initially proposed in 2005 by Alexander Osterwalder. A business model canvas allows business owner to organize the business plan in a logical way. A Business Model Canvas gives you a way to create a pretty clear business model using just a single sheet of paper.

5.6 Nine elements or building blocks of Business canvas Model:

1. Customer Segments
2. Value Proposition
3. Channels
4. Customer Relationships
5. Revenue Streams
6. Key Resources
7. Key Activities
8. Key Partners
9. Cost Structure



1. Customer Segments (understand your customers in terms of their needs)

Question asked in this segment. Who are your customers?

In this building block, you enter the different customer segments or that you will serve. If you can, create one or more persona for each segment you serve. A persona is simply a relatable description of each customer type you serve. They try to highlight your customers' motivations, their problems and capture the "essence" of who they are. One really important point to get across here is that customers don't exist for you, but rather you exist to serve your customers. Many businesses will serve just one customer segment, but not all.

2. Value Proposition (value offered to the customers)

Question asked in this segment. Why do customers buy from you? What is the gain you provide or the need you satisfy your customers

The value proposition describes the value that you deliver to each customer segment. What problems do you solve for each customer segment? What needs do you satisfy? The Value Proposition answers the question, "Why will customers buy from us?"

Some of the most common value propositions are:

- Newness.
- High performance.
- Ability to customize.
- Design.
- Brand/Status.
- Price.
- Cost reduction.
- Risk reduction.
- Convenience.

3. Channels (how to reach the customers direct or indirect)

Question asked in this segment. How are your products and services delivered to the market?

Channels refer to how your products or services are sold to customers. To complete this section ask yourself how do your customers want to be reached. How are you reaching them now? Broadly speaking you can either have your own channels or partner with someone else. Your own channels might include any combination of stores you own, a sales force you employ, or your website. Partner channels could include a multitude of options, from using a wholesaler to working with affiliates to sell your products.

4. Customer Relationships (advertising products, offering unique service & offering discounts)

Question asked in this segment. How you get, keep, and grow the customers.

The Customer Relationships building block answers the question of how you get, keep, and grow customers.

- Get: How do customers find out about you and make their initial purchase? For example, this could be through advertising on Google.
- Keep: How do you keep customers? For example, excellent customer service might help keep customers.

- Grow: How do you get our customers to spend more? For example, you could send out a monthly newsletter to keep them informed about your latest products.

The easiest way to define all of this is to walk through the entire customer journey in detail. That is how do customers find out about you, investigate whether to buy your product, purchase it and how are they managed after purchase.

5. Revenue Streams (how does customer pay, cash or credit basis or even both)

- Question asked in this segment. How does your business earn money?

Where does the money come from? In this building block, you state where your revenue is generated. This might sound super simple but it isn't. You're actually trying to figure out what strategy you'll use to capture the most value from your customers? Will customers simply pay a one-time fee? Will you have a monthly subscription fee? Perhaps you give away your product for free like Skype and hope that some portion of customers upgrade to the paid premium product?

6. Key Resources (physical, human, intellectual & Financial)

Question asked in this segment. What unique strategic resources does your business have or need?

This building block describes your most important strategic assets that are required to make your business model work. Broadly speaking resources can fall into one of four categories:

- Physical: such as buildings, vehicles, machines, and distribution networks.
- Intellectual: such as brands, specialist knowledge, patents and copyrights, partnerships, and customer databases.
- Human: sometimes your people will be your most key resource, this is particularly true in creative and knowledge-intensive industries.
- Financial: such as lines of credit, cash balances etc.

7. Key Activities (Effective production, best pricing method Customized promotion method & effective distribution strategy)

Question asked in this segment. What unique strategic activities does your business perform to deliver your value proposition?

The Key Activities are the most important strategic things you must do to make the business model work. Key Activities should be directly relatable to your value proposition. If your Key Activities are not relatable to your Value Proposition then something is wrong, because the activities you view as most important aren't delivering any value to customers.

Key Activities can typically be broken down into three broad categories:

- Production: refers to delivering your product. You will typically do this to either a high quality or a high quantity.
- Problem Solving: Consultancies and other service organizations often have to come up with new solutions to individual customer problems.
- Platform/Network: Networks, software platforms can function as a platform. For example, a key activity for Facebook is updating the platform.

When completing this section, it is a mistake to list all the activities of your business, instead only include activities which are absolutely core to delivering your value proposition.

8. Key Partners (suppliers, security or cleaning service personnel)

Question asked in this segment. What non-key activities can you outsource to enable you to focus more on your key activities?

In this building block, you list the tasks and activities that are important but which you will not do yourself. Instead, you will use suppliers and partners to make the business model work. Let's look at Spotify. Spotify's key activity is updating its platform. However, as it doesn't produce its own music one of the key partnerships of Spotify will be the deals it strikes with record labels and publishing houses, without which it would have no music!

There are usually three reasons for creating a partnership:

- Economies of scale.
- Reduction of risk and uncertainty.
- Acquisition of resources or activities (e.g. music for Spotify).

9. Cost Structure (cost of major activities)

Question asked in this segment. What are the major costs incurred by your business?

In the Cost Structure building block, we want to map key activities to costs. We also want to ensure that costs are aligned with our Value Proposition. It should be straightforward to determine your most important costs and your most expensive after you've defined your Key Resources, Key Activities, and Key Partnerships.

Distinction between Proposition Canvas Model and Business Canvas Model

The Business Model Canvas helps you create value for your business. Examples of this might be your revenue streams or connections. The Value Proposition Canvas helps you create value for your customers. If you just want to validate customers and how your well your product fits with what your customers want and need, begin with the Value Proposition Canvas.

LESSON SIX

TECHNOLOGY & INNOVATION PROCESS (DEVELOPING PRODUCT PROTOTYPES)

6.1 Meaning of Technology

Technology is the sum of techniques, skills, methods, and processes used in the production of goods or services or in the accomplishment of objectives, such as scientific investigation. Introduction

6.2 Meaning of Innovation

Innovation is the process of translating an idea or invention into a good or service that creates value for the customers. Innovation is often also viewed as the application of better solutions that meet new requirements, unarticulated needs, or existing market needs.

6.3 The innovation process

The innovation process describes the path of translating new and/or existing knowledge into marketable solutions. Companies that pursue a successful innovation process have something decisive that puts them ahead of others - they have designed the path of an idea from generation, through development, to market entry.

6.4 Meaning of a product prototype

A prototype is a physical representation of the idea, invention, or product, it is an early sample, model or product built to test a concept.

6.5 Four steps of developing a product prototype

1. Create a Concept Sketch (draw your idea on paper)

The first step toward turning your idea into reality that is, getting it down on paper. Draw your idea to help you visualize your prototype in greater detail. While it is possible to use a digital drawing program for this step, it may be more efficient to start on paper first. For one thing, in the early stages of creating your prototype, you'll have a lot of ideas running through your mind and competing with each other. You'll save time by drawing these rapidly on paper instead of investing time perfecting a digital drawing.

2. Develop a Virtual Prototype (digital sketch)

Virtual prototyping is a method in the process of product development of using a digital sketch. It involves using computer-aided design (CAD), computer-automated design (CAutoD) and computer-aided engineering (CAE) software to validate a design before committing to making a physical *prototype*.

3. Build a Physical Prototype (a sample of actual product)

Once you have a virtual prototype, you're ready to build a physical prototype. If you have the skill, you can build one yourself. If you need help, there are several types of resources you can tap to get this step done. One way is going to a professional prototype designer. An alternative is getting a designer or engineer to build your prototype. If you're cash-strapped, you might seek out a handyman or advertise at an industrial design college. Once your first prototype is built, you may find flaws that need to be corrected before you seek a patent. You may need to build several prototypes to get a good one done. Typically, early working prototypes are built of less expensive materials than later versions to save money while fixing design flaws. As you improve your design, you can eventually make a prototype that replicates your actual product as it will be sold to consumers.

4. Locate a Manufacturer (identify appropriate manufacturer)

Once you have a working prototype, you're technically ready to apply for a patent; however, you might want to take the additional step of locating a manufacturer that can produce your product at a profitable price. If your idea is going to be profitable, you need to be able to build it at a cost that is low enough that you can cover expenses without cutting too far into your revenue.

LESSON SEVEN

INTELLECTUAL PROPERTY RIGHTS

7.1 Introduction

As a creative individual and a potential entrepreneur, you are likely to come up with new ideas and it is paramount that you have the knowledge that is used in protection of new ideas and inventions. The purpose of this lesson is to equip you with the necessary knowledge for protecting your new ideas, innovations and inventions

7.2 Meaning of Intellectual Property (IP)

Intellectual Property (IP) refer to all intangible creations of the mind such as inventions, designs, symbols, images and names that can be used for commercial gain. They are categorized as patents, copyright and trademarks. Intellectual property also includes other types of rights such as trade secrets. Under intellectual property law, the holder of one of these abstract properties has certain exclusive rights to the creative work, invention or commercial symbol by which it is covered.

Intellectual property rights are the rights given to persons over the creations of their minds. They usually give the creator an exclusive right over the use of his/her creation for a certain period of time, Intellectual Property affords people the rights to own their creativity and innovation, just as they would own physical property.

7.3 Three major types/forms of intellectual property rights

1. Copyrights

These are rights of authors of literary and artistic works (such as books and other writings, musical compositions, sound recordings paintings, sculpture, computer programs and films), this protection is lifelong extends for a minimum period of 50 years after the death of the author

2. Trademarks

These is the protection of such distinctive signs, names, symbols and aims to stimulate and ensure fair competition and to protect consumers, by enabling them to make informed choices between various goods and services. The protection may last indefinitely, provided the sign in question continues to be distinctive

3. Patents

A patent is a property right granted to a patent holder to exclude others from using, making, or selling an invention for a limited time. The protection is usually given for a finite term (typically 20 years While the basic social objectives of intellectual property protection are as outlined above, it should also be noted that the exclusive rights given are generally subject to a number of limitations and exceptions, aimed at fine-tuning the balance that has to be found between the legitimate interests of right holders and of users.

LESSON EIGHT

PROCESS OF INTELLECTUAL PROPERTY PROTECTION

8.1 Introduction

Intellectual Property Protection is protection for creations of the mind such as inventions, symbols, literary and artistic works, names, and images and any other unique materials. This is done by use of by using: Patents, Trademarks, Trade Secrets, and Copyrights. Trade secrets are not protected by Intellectual property laws; nonetheless, entrepreneurs have means and ways of protecting them. The other three Intellectual property rights: Patents, copyrights and trademarks follow different processes of protection.

Intellectual property rights are the rights given to persons over the creations of their minds. They usually give the creator an exclusive right over the use of his/her creation for a certain period of time.

8.2 Measures to Protect Intellectual Property

1. Register copyrights, trademarks, and patents

Copyright, trademark, and patent are three of the most common types of IP protection. These grant you the exclusive rights to your creations, especially when it comes to the commercial gains of its use. Register this with the government

2. Register business, product or domain names

If you're planning to start a business with your IP, you can further protect your interest and identity by registering the business, product or domain name associated with it. It will also help to secure these names even if you're just in the planning stages of forming your business before others could come up with a similar idea and cause some confusion.

3. Create confidentiality, non-disclosure or licensing contracts for employees and partners

Sometimes, there is crucial information about your business that you should protect from leaking in public. For instance, you are developing a video game, but you don't want the details to come out before it's ready to launch. Thus, it will be prudent to ask the game developers and other people working for you, who have knowledge or access to information or trade secrets, to sign a confidentiality agreement to ensure the IP protection. Confidentiality agreements, which must be prepared by lawyers, bound employees, and workers to comply with your demand to keep what they know private. Otherwise, they will be legally liable for any leaks. Confidentiality agreements are also known by other names including:

4. Implement security measures

There is a need to implement robust security measures within the IT framework of your company.

These may include:

- setting up password protection for all computer networks
- Using virtual private network access (VPN)
- Establishing Wi-Fi Protected Access 2 (WPA2)

5. Avoid joint ownership

Intellectual property may be developed and created by more than one person, as in the case of a company that has its research and development team. Joint IP ownership, on the other hand, grants the control of the copyright, trademark or patent to more than one party. With that said, every owning party may copy, recreate, distribute, or wield whatever they want to do with the IP without consulting the other owners.

8.3 Trade Secrets

Trade secrets refer to the information used by a business entity or in manufacturing processes to gain an advantage over competitors. Businesses can protect such secrets from being used by others. Most successful small family businesses protect their trade secrets for generations. Similarly Giant companies do likewise. Coca-Cola has always prided itself of having a secret formula for their Coke brand and such a formula can be protected from use by other industry players by law. Trade secrets may include: Formulas, patterns, list of customers, databases, chemical compounds, and combination of ingredients for commercial products, process of manufacturing and compiled information. Trade secrets must be protected

8.4 Measures of protecting Trade Secrets

- Identify trade secrets in your company.
- Mark them as “confidential.” You may have several levels of confidentiality.
- Creating protocols to be followed by all employees while dealing with sensitive information,
- Control access to these secrets.
- Keeping confidential files in locked cabinets
- Use passwords for computer systems,
- Get agreements from key people. Get them to sign a confidentiality agreement or non-disclosure agreement
- Train all employees on how to deal with your company’s trade secrets to keep them safe.
- Know what to do when something is stolen. Have a notification and security process in place.

Benefits of Intellectual Property Rights

1. Help you turn your ideas into money-makers

Every little or big idea you have, can prove invaluable if it is executed correctly. This simply means that your intellectual property can help you convert your ideas into products and services which are commercially successful. You can use your intellectual property to create a business on your own, pitch it to investors and start a business or even get it licensed, enabling you to sell it to various businesses in exchange for a steady stream of income. An IPR can be converted into an asset and can help turn your idea into a huge money-maker.

2. Enhance your business' market value

One of the greatest advantages of protecting intellectual property is that it can generate income for your business in many ways. You could license your IP and lend it to various businesses in exchange for a fixed income or reasonable royalties. You could also reap benefits from selling your IP products and services for a fixed amount. Selling your IP can raise your profits and even improve your market share. Also, in case you sell your company or enter an acquisition or merger with another, registered and protected intellectual property assets can significantly enhance your business' value.

3. Help you to win competition

Customers are always looking for something new and exciting. Every company aspires to be the first one to offer a breakthrough product to customers. If you wish to create a certain image for your business then IPs are absolutely essential. Remember, customers associate a certain value with their favourite brands. This is where factors like goodwill, trademarks, designs and logos come into the picture. Customers recognize brands from these factors and IPRs helps businesses differentiate their products and services within a market, while promoting them to its target customers.

4. Can be accessed to raise finances

Another benefit of intellectual property ownership is that you can easily monetize your IP assets when you need to raise funds. You could choose to sell the IP, license it, or even use it as collateral while taking on a debt. Also, the government of India has created several laws that allow IP owners to use their IPs to their advantage while applying for any government or public funding including loans, subsidies and grants.

5. Enhance opportunities related to exports in business

IPRs give you the freedom to tread into the export business as well. There is no law that states that IPs need to be protected and can be used to benefit one within specific borders. With the help of IPRs you can use your designs and brands to market your products and services in foreign lands as well, thus improving your export prospects. You can seek franchising agreements with foreign companies and even export patented products.

6. Securing product-differentiation advantages: Competitors in the U.S. may want to appropriate that which makes your product better. But they cannot simply incorporate your properly protected idea into their products.

7. Securing branding advantages: Competitors in the U.S. may want to appropriate your positive image by associating with your brand. But they cannot simply use your properly protected trademarks.

8. Securing technological advantages: Competitors in the U.S. may want to appropriate your product or operational advantages by using your technology. But they cannot simply use your properly protected technology.

9. Securing business advantages: Competitors in the U.S. may want to appropriate your marketing or operational advantages by using your business knowledge. But they cannot simply take your properly protected information.

LESSON NINE

ENTREPRENEURIAL AWARENESS: LEGAL FORMS OF BUSINESS

9.1 Forms of Business Organization

One of the first decisions that the owner of a small business must make is to determine the form of legal organization of the enterprise. The vast majority of legal business organizations in Kenya are organized as one of the three legal forms. They are:

1) The sole proprietorship

2. The partnership

3. The limited company.

The business owner should have a basic knowledge of the legal forms of business organizations available and be aware of the relative advantages and disadvantages of each form of organization. Competent legal advice should be obtained when deciding which legal form to adopt.

1. The Sole Proprietorship

It has only one owner. When starting a sole proprietorship the only requirements are to determine of a license is required for the particular business and if a state tax or license fee must be paid. Because of the limited restrictions, the sole proprietor is the easiest to start and the initial costs are usually low.

i. Liability of Sole proprietor

A single operator is personally liable for all debts of the business. If necessary, this liability includes all of the proprietor’s personal property and assets.

ii. How does the Legal aspects affect continuity of the Business

The business is terminated by the death or incapacity of the owner.

iii. How does the Legal Structure affect Business Management and Taxes?

Here, there is only one boss. He or she may operate the business in any way desired as long as the law is not broken. Having all management decisions made by one person can be a disadvantage. Personal income tax must be made on the entire business profit.

2. Partnership

The partnership has two or more co-owner but should not exceed 20. The cost of organizing a partnership is usually low. In addition to any necessary licenses, it is recommended that a partnership agreement (partnership deed), called the articles of partnership, be in writing and prepared by an attorney.

Liability of Partnership

Each member of a general partnership is fully liable for all debts owed by the business regardless of their personal investments, personal property and asserts. Each partner is also responsible for and liable for the acts of the other partner with regard to business obligations.

How does the Legal aspects affect continuity of the Business

The business is terminated by the death, incapacity or withdrawal of any one of the partners; unless the articles of partnership states the remaining partners can continue the business after buying the deceased's interest from his/her estate.

How does the Legal Structure affect Business Management and Taxes?

In general partnership, each partner typically has equal role in management with the various duties divided among them. Their combined abilities and knowledge may give the partnership and advantage over the proprietorship regarding management, although the division of management duties may lead to disagreements. Personal income tax must be paid by all the partners on shares and business profits.

3. Limited Company

This is an association of stockholders or owner chartered by the government. The company has the authority to transact business in the same manner as one person. The limited company is more complicated to form than the other two types organization and is usually more costly. Legal procedures must be followed strictly. The officials of the corporation must file a special document called the 'article of association' with the registrar of companies. A company pays initial taxes, filing fees and holds official meetings to deal with specific details of operations and organization.

Liability of Limited Company:

The liability of members of a limited company is up to the face value of the share that one has to take up.

How does the Legal aspects affect continuity of the Business

Companies have separate and continuous life of their own, and do not dissolve if a stakeholder dies or sells the stock/shares to another person.

How does the Legal Structure affect Business Management and Taxes?

The company is usually in the best position to obtain additional capital. In addition to pledging corporate assets as collateral, a corporation may sell additional stock/shares in the company to raise funds. The company is taxed twice. - i.e. on the amount of the business profit and on the owners' dividends the may receive.

9.2 Advantages and Disadvantages of the Three Legal Forms of Business

Sole Partnership	Partnership	Limited Company
Advantages		
Low startup costs	Low startup costs	Limited liability
Owner in direct control	Broader management base	Possible specialized management
All profits to the owner	Possible to obtain additional funds	Continuous existence
Possible tax advantage	Possible tax advantage	Possible tax advantage
Disadvantages		
Unlimited liability	Unlimited liability	Closely regulated
Lack of continuity	Lack of continuity	Usually most expensive to start
Difficult to raise funds	Profit divided among partners	Double taxation
Limited management	Hard to find suitable partners	Loss of owners control
All loses to the owner	Divided authority and control	Lacks individual innovativeness

9.3 Business laws and regulations

1. Building laws

These are laws enacted to ensure safety and suitability of the business premises. These laws are contained in:-

i. Factories Act

ii. The Local Authorities by Laws

2. Licensing

All businesses are required to have certain operating licenses. These can be obtained from the Central Government Offices (D.Os) or from the Local Authority. An entrepreneur should know exactly what licenses will be needed.

3. Health Regulations

In addition to the usual licenses that each business must obtain, businesses such as health care, hotels, restaurants and boarding and lodging facilities, are expected to obtain a certificate of compliance with health regulations from the local health inspection office.

4. Labor Laws

These are laws enacted by parliament to ensure fairness in operating of business in relation to employer/employee relations. In Kenya the specific act dealing with these issues are:-

i. The Employment Act

ii. The Workmen's Compensation Act

5. Insurance

Certain businesses such as the transport industry are required to procure insurance to insure the commuters/customers. In case of an accident, the business owners are relieved from excessive liability.

9.4 Unincorporated Associations

Unincorporated associations are the simplest form of Non-profit organization ,they are sometimes called a voluntary association. Unincorporated associations are usually small or informal community organizations. Any group of people who agree to act together, usually because of a shared interest or purpose, might be called an unincorporated association. An unincorporated association has no separate legal identity from that of its members. It is simply a group of people who associate for a particular purpose, for example, a group of people who wish to play football or lobby for or against a particular development and have verbally agreed to carry out certain functions. Usually it operates according to a constitution or rules. An unincorporated association cannot sue or be sued, its assets must be held by trustees on its behalf, contracts must be made for the association by the committee members and the liability of the members (especially the committee members entering into those contracts) is generally personal and not limited to the assets of the association.

Unincorporated associations are easy and free to establish and have very few of the same administrative or legal requirements of incorporated associations. Members must abide by the rules of the organization's constitution, if it has one. The constitution might be formal like that of other organizations or informal and not written down but agreed on by members. Unincorporated associations do not have a legal identity: they cannot hold assets in their name or the legal protections for members that come with incorporation

LESSON TEN

BUSINESS PLANNING

10.1 Meaning of Business Planning

Business planning is the process of determining a commercial enterprise's objectives, strategies and projected actions in order to promote its survival and development within a given time frame. Business planning typically has two key aspects, one focused on making profits and the other focused on dealing with risks that might negatively impact the business.

10.2 Business Plan

Business plan is a written document that details the necessary actions to achieve one or more business objectives. It can be for a product or service a brand, or a product line. Business plans cover between one and five years.

Importance of a Business Plan

1. Act as a road map
A business plan tells you how to get from the beginning of the plan to reach your objectives and goals. The plan as a road map describes the environment in which you are likely to find yourself along the way. It might describe the geographical terrain as well as the type and classification of the various road arteries, items, distances, and available stops for emergencies, gasoline.

2. Assist in management control and implementation of strategy
As you proceed various problems may interfere with the planned strategy. Marketing plan will allow you to plot and redirect your activities toward alternate paths in order to arrive at your objective with minimum difficulty. You will be able to see clearly the difference between what is happening during the implementation of your strategy and what you had planned to happen. This will give you control of the situation and allow you to take the corrective action necessary to put your project back on track and to keep it on track t reach your final objective.

3. Inform new participants of their roles in implementing the plan and reaching your objectives

Successful implementation of a strategy requires integration of many actions, usually by many different people and departments both inside and outside the organization. Having marketing plan enables you to describe the vision in detail. It allows everyone to see how their actions fit in with the actions of others. New people may be assigned to activities involving your plan. Marketing plan is therefore a document that can be used to inform all participants of your objectives and how and why there objectives will be met; by whom; with what and when

4. Assist in helping to obtain resources for implementation

A marketing plan plays an important part in persuading those who have the authority to allocate limited resources – money, people and other assets. With scarce resources you must convince these individual that you are going to use capital, goods and labor in the most effective and efficient manner.

5. Stimulate thinking and the better use of limited resources
A good marketing plan will help you make the most of what you have. It will also help you obtain differential advantage over your competition, which leads to success.

6. Help in the organization and assignment of responsibilities, tasks and timing
A marketing plan clearly outline the responsibilities that need to be undertaken. It also allows for scheduling o all activities to maximize the impact of the strategy.

7. Help you become aware of problem, opportunities and threat in the future
The marketing plan documents problem that exists and anticipate those that are to occur. It also enables you to think strategically and to consider that must be done about opportunities, problems and threats that lie ahead.

viii. Attract Financing
The Small Business Administration states, "The development of a comprehensive business plan shows whether or not a business has the potential to make a profit." By putting statistics, facts, figures and detailed plans in writing, a new business has a better chance of attracting investors to provide the capital needed for getting started.

10.4 Components of a Good Business Plan

1. Executive Summary

Your executive summary should appear first in your business plan. It should summarize what you expect your business to accomplish. Since it's meant to highlight what you intend to discuss in the rest of the plan, the Small Business Administration suggests that you write this section last.

2. Company Description

The next section that should appear in your business plan is a company description. It's best to include key information about your business, your goals and the customers you plan to serve. Your company description should also discuss how your business will stand out from others in the industry and how the products and services you're providing will be helpful to your target audience.

3. Market Analysis

Ideally, your market analysis will show that you know the ins and outs of the industry and the specific market you're planning to enter. In that section, you'll need to use data and statistics to talk about where the market has been, where it's expected to go and how your company will fit into it. In addition, you'll have to provide details about the consumers you'll be marketing to, such as their income levels.

4. Competitive Analysis

A good business plan will present a clear comparison of your business to your direct and indirect competitors. You'll need to show that you know their strengths and weaknesses and you know how your business will stack up. If there are any issues that could prevent you from jumping into the market, like high upfront costs, it's best to say so. This information will go in your market analysis section.

5. Description of Management and Organization

Following your market analysis, your business plan will outline the way that your organization will be set up. You'll introduce your company managers and summarize their skills and primary job responsibilities. If you want to, you can create a diagram that maps out your chain of command.

6. Breakdown of Your Products and Services

If you didn't incorporate enough facts about your products and services into your company description (since that section is meant to be an overview), it might be a good idea to include extra information about them in a separate section. Whoever's reading this portion of your business plan should know exactly what you're planning to create and sell, how long your products are supposed to last and how they'll meet an existing need.

7. Marketing Plan

In your business plan, it's important to describe how you intend to get your products and services in front of potential clients. That's what marketing is all about. As you pinpoint the steps you're going to take to promote your products, you'll need to mention the budget you'll need to implement your strategies.

8. Sales Strategy

How will you sell the products you're building? That's the most important question you'll answer when you discuss your sales strategy. It's best to be as specific as possible. It's a good idea to throw in the number of sales reps you're planning to hire and how you'll go about finding them and bringing them on board. You can also include sales targets.

9. Request for Funding

If you need funding, you can devote an entire section to talking about the amount of money you need and how you plan to use the capital you're trying to raise. If you'll need extra cash in a year or two to complete a certain project, that's something that's important to disclose.

10. Financial Projections

In the final section of your business plan, you'll reveal the financial goals and expectations that you've set based on market research.

Reasons for the business Failure

1. Not Seeking Professional Advice
2. Lack of Good Customer Care
3. Copying Others
4. Lack of Experience
5. Unaccountability
6. Lack of Personal Growth
7. Poor Location
8. Lack of Focus

- Wrong Expectation
- Quitting Too Soon